



Visa Direct Fraud Reporting Resource Guide

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About this Guide

The Visa Direct Fraud Reporting Guide is organized as follows:

- **Section 1, Visa Direct Fraud Reporting Overview** – This chapter provides an overview of Fraud Reporting for Visa Direct transactions, including benefits for the Visa Direct Ecosystem.
- **Section 2, Technical Information** – This chapter provides a view of the high-level changes Visa has made to its Fraud Reporting System to enable fraud reporting on Original Credit Transactions (OCTs), and the anticipated technical impact for clients.
- **Section 3, Fraud Reporting Scenarios** – This chapter provides a description of fraud scenarios that necessitate Acquirer fraud reporting on OCTs (Note: this is not an all-inclusive list; Acquirers and merchants are responsible for identifying fraud for their specific use cases and establishing mechanisms for reporting fraud to Visa).
- **Section 4, Frequently Asked Questions** – This chapter provides a list of Frequently Asked Questions on fraud reporting for Visa Direct transactions.
- **Section 5. Appendix**

Audience

This guide is intended to be used as a supplemental reference document to assist Acquirers, Issuers, and internal Visa audiences to address questions relating to OCT Fraud Reporting. This document should be used in conjunction with other guides and user manuals, including the *Fraud Reporting System User Guide*, the *Visa Resolve Online User Guide*, and the relevant articles appearing in *Visa's Global Technical Letter & Implementation Guide*.¹

Key Terms

Account Funding Transaction (AFT)

The Account Funding Transaction is a transaction in which funds are pulled from a Visa account and are subsequently used to fund another Visa or non-Visa account. When used independently to fund another Visa or non-Visa account, AFTs must only be used to fund an account belonging to the same individual or entity holding the Visa account. The AFT must be processed with the Account Funding Transaction indicator and the correct Business Application Identifier (BAI) in the authorization and clearing record.

Important: An AFT is not intended for payment of goods and services, funding a merchant account, or for debt repayment. An AFT can be used to fund the OCT in a Scan to Pay purchase.

¹ April 2023 and July 2023 VisaNet Business Enhancements Global Technical Letter and Implementation Guide, Effective: 9 March 2023:
https://secure.visaonline.com/_layouts/GVOL/GVOLStream.aspx?filename=%5Croot%5Ccontent%5Cdam%5Cgvol%5Cen%5Coperations%5Cmore-operations%5Cvisanet-business-enhancements%5C0423-0723-gtlig.pdf&contenttype=application/pdf

Account Takeover Fraud

Account takeover occurs when a fraudster obtains a victim's personal information and then changes login credentials or passwords. The fraudster then takes control of the victim's account or sets up a new account and carries out unauthorized transactions.

Acquirer

A client financial institution that has agreements with merchants to accept Visa card transactions or offers cash disbursement services to account holders, or both. The Acquirer is responsible for:

- Accepting card transaction data from merchants and its own ATMs and bank branches.
- Providing authorization decisions to those card-accepting locations.
- Conveying transaction information to Visa as interchange transaction.

Authorized Push Payment Fraud

Authorized push-payment fraud, or scam fraud, occurs when a fraudster convinces a consumer to send funds via a Peer-to-Peer (P2P) payments service and there is a scam involved, such as paying for a non-existent product or service or sending money to the wrong person. In this scenario, the cardholder initiates or gives permission for the payment from their account to fund the payment.

Base II System

An electronic batch transmission system primarily used for the exchange of Visa interchange transaction data and for settlement of the value of those transactions between Acquirers and Issuers. This system is also used by centers to retrieve records from the Advice File and by Visa to settle various fees with clients.

Fraud Reports

The Fraud Activity Reports and Fraud Summary Reports list reported fraud transactions (additions, changes, deletions, and reactivations) that were correctly submitted and applied to the Visa Fraud Master File. The reports also list transactions with data errors, processing errors, or both.

Fraud Reporting Entity

A subfield identifying the entity submitting the fraud.

Fraud Reporting System (FRS) – The Fraud Reporting System is Visa's centralized clearinghouse that helps clients report, track, and analyze fraudulent transactions. The service consolidates fraud information, helps clients detect fraud patterns, and reduces losses due to fraud.

Fraud Type

Any one of the codes identifying a specific type of fraudulent activity reported by the Fraud Reporting System.

Fraud Type Classification

Fraud Type Classification is an optional field that enables the client to provide more insight about the Fraud being submitted. Combining the Fraud Type and Fraud Type Classification provides an understanding of the fraudulent activity that has occurred around scam fraud. The intent is to use this detailed classification to understand and mitigate scam fraud.

Issuer

A client financial institution that issues Visa cards. For a given transaction, the Issuer is the institution that issued the card used for that transaction to the account holder. The Issuer is responsible for maintaining the accounts of its account holders, for providing authorization decisions, for account holder billing, and for settlement of transactions its account holders have with merchants and cash dispensing locations of other clients. Each Issuer operates or designates an Issuer center to perform the functions related to clearing and settlement of interchange transactions.

Original Credit Transaction (OCT)

The Original Credit Transaction is a VisaNet transaction that can be used to send funds to an eligible Visa card.² OCTs alone cannot be used for the purchase of goods or services. OCTs are not allowed for merchandise return credit/refunds except by exception or as permitted in the Visa Rules.³

Processing Code

In the context of reporting fraud on Visa Direct transactions, the processing code is used to distinguish between AFTs and OCTs.

TC 40 Record Layout

The TC 40 record comprises four transaction component records (TCRs). The use of TCRs 0, 1, 2, and 3 depends on fraud reporting requirements based on specific programs, regional initiatives, or both.

SMS 9620 and 9630

The Single-Message System (SMS) online fraud reporting capability allows successfully tested clients to report fraud transactions using SMS online messages. SMS-connected Issuers and Acquirers use 9620 messages to report confirmed fraud transactions. 9630 messages are used as responses, acknowledging receipt of the client's 9620.

VIP System

An electronic data transmission system for the real-time delivery and processing of messages related to authorization of bank, travel & expense, private label, and proprietary card and check acceptance transactions. It accepts authorization requests from Acquirer and merchant authorization centers and either provides authorization decisions or secures authorization decisions from the Issuer authorization centers.

² Clients should differentiate OCT processing from merchandise credit refund processing that, in some cases, has other consequences, including reversal of reward points, etc.

³ See Visa Rule #0008771.

VisaNet

The data processing systems, networks, and operations that support and deliver authorization services, Exception File services, clearing and settlement services, and other services as specified in the Visa Operating Regulations.

Visa Resolve Online (VROL)

Visa Resolve Online is a Web-based application that supports customer service representatives and back-office analysts responsible for managing the dispute life cycle. It is used to send Transaction Inquiries, send financial exception processing messages for both BASE II and SMS, fraud reporting and exception file management. In addition, it is a mandated service used to exchange electronic dispute documentation and information, dispute pre-filings, and dispute case filings between clients and Visa during the dispute cycle.

Related Forms & Publications

- *Fraud Reporting System User Guide*
- *Visa Resolve Online User Guide*

Section 1:

Visa Direct Fraud Reporting Overview

Overview

Fraud on money movement has been growing, particularly following the pandemic, and fraudsters are developing increasingly clever and complex ways to defraud their victims, resulting in financial losses to merchants and consumers. To address and mitigate this trend, from 13 October 2023, Visa will require Acquirers to report OCT fraud i.e., the use of OCTs to distribute fraudulently obtained funds.

This requirement is intended to enhance ecosystem visibility into fraud trends, assist Issuers to identify and manage accounts opened by fraudsters through access to Acquirer reports of OCT fraud, and to support the development of new client tools and services to mitigate the risks of OCT fraud, such as OCT fraud risk scoring tools.

In order to support this development, in October 2022 Visa made changes to the Fraud Reporting System (FRS). The FRS was enhanced to enable Acquirers to report OCT fraud and to enhance the granularity of reporting of Authorized Push Payment (APP) or 'scam' fraud for both Issuers and Acquirers.

Benefits

The changes to the Fraud Reporting System are expected to yield numerous benefits for the Visa Direct payments ecosystem, including:

- **The Issuer Account Activity Report:** The Issuer Account Activity Report provides Issuers with Acquirer-reported, confirmed fraud on OCTs sent to their card accounts. It contains a listing of all OCT fraud transactions occurring against their account holder(s). This report can be used by Issuers to identify fraudster-compromised accounts and take any necessary actions to halt the fraudulent activity. Ultimately, this report can help Issuers obstruct fraudsters' from exploiting their accounts and systems, and lead to a reduction in fraud. Additional benefits include:
 - A reduction in fraud can help reduce certain operational costs associated with reviewing, analyzing, and processing, fraud reports.
 - Issuers can use the Acquirer-reported fraud data contained within the Issuer Account Activity Report to enhance their own fraud risk management processes and transaction monitoring capabilities.
- **Enhanced fraud risk management can help improve regulatory readiness:** Reporting fraud on OCTs improves information sharing across the ecosystem and demonstrates a proactive approach to preventative and reactive fraud risk management.
- **Deeper insight into fraud trends:** New reporting flows can help improve modeling and provide deeper insight into fraudulent money movement schemes while providing data that could be utilized to develop new risk mitigation tools.

Section 2:

Technical Information

Impact

Acquirer / Merchant

Effective 13 October 2023, Acquirers will be required to report fraud on OCTs. An example of reported fraud may include Acquirers reporting on the use of OCTs to transfer funds that were fraudulently obtained through scam activity, incidents of account takeover, or other criminal schemes.

Acquirers and merchants must work together to establish processes to ensure that OCT fraud is reported accurately and in a timely manner.

Acquirers may consider using the existing Acquirer Merchant Summary Reports to assist in the identification of fraudulent OCTs that were preceded by Issuer-reported AFTs.

Issuer

Effective 13 October 2023, Issuers will be required to use the new FRS data fields when reporting fraud on AFTs. Reference the *Fraud Reporting System User Guide* for detailed information on the data fields to be reported.

Issuers may also subscribe to new Issuer Account Activity Reports to review Acquirer-reported fraud on OCTs. This new report will provide listings of all confirmed Acquirer-reported fraudulent OCTs. Issuers can use this report to take action on their accounts linked to fraudulent activity, as appropriate.

Reporting Fraud

VROL

Fraud reports can be submitted by Issuers, Acquirers, or Visa users who are initiating fraud reports on behalf of a financial institution [may or may not be a Visa Resolve Online (VROL) client], to help clients report fraudulent activities associated with a card or account. Fraudulent transactions can be reported for transactions originating from either the BASE II Clearing or the Single Message System (SMS). Fraud reports should be submitted within two years from the current date.⁴

⁴ As documented in the *FRS User Guide*, clients must report fraud when detected, but no later than 60 days from the transaction date or 30 calendar days from receipt of the dispute notification. The “current date” refers to the date a client is reporting fraud.

Visa Direct transactions are associated with the below Fraud report category in VROL:

- **Other fraud** – Other fraud categories (non-NRI fraud or non-Convenience Check fraud) are transaction related. The user should report the fraud in a case that contains a TI transaction or provide the transaction fields with the fraud.

For step-by-step instructions on how to report fraud on VROL, refer to the VROL User Manual.

SMS 9620

Clients reporting fraud using SMS 9620 messages will receive a 9630 message from SMS acknowledging receipt of the message. Clients may also subscribe to fraud reports in SMS 9620 format.

The Single-Message System (SMS) online fraud reporting capability allows successfully tested clients to report fraud transactions using SMS online messages. SMS-connected Issuers and Acquirers use 9620 messages to report confirmed fraud transactions.

When SMS receives a 9620 fraud advice message from the client, it immediately generates a 9630 response acknowledging receipt of the client's 9620 message.

The VisaNet Fraud Reporting System (FRS) processes the client-generated 9620 advice information and validates the data received from the client. Within 48 hours after receipt of the client's initial 9620 fraud advice, VisaNet returns print-image reports or a new 9620 advice (if requested by the client) to the client with the disposition of the client-generated 9620 fraud advice. If receiving 9620 fraud messages, the client immediately acknowledges receipt of the VisaNet-generated 9620 advice by returning a 9630 response message. If FRS detects discrepancies in the reported fraud data, the VisaNet-generated 9620 advice contains warning or error information.

The VisaNet-generated 9620 and 9630 SMS fraud messages are optional. Clients that choose not to receive the VisaNet-generated 9620 and 9630 message receive their status information as print-image reports. FRS returns the 9620 and 9630 message with all the data elements sent by the client, except for Field 115—Additional Trace Data.

This provides the layout and required data edits for each data field of the client-generated 9620 fraud advice record and the VisaNet-generated 9630 advice response. These fields are critical fraud reporting message fields:

- **Field 63.9—Fraud Data:** This field is mandatory in 9620 messages. It identifies the type of fraud being reported and designates whether the transaction is being added, modified, or deleted in the fraud master file.
- **Field 125—Supporting Information, usage 3:** This field usage contains further information about the fraud transaction. Information includes the type of fraud notification, a fraud reporting account sequence number, whether the transaction was authorized, the merchant postal code, and the fraud investigative status.

The *FRS User Guide* provides further details and specifications on fraud reporting requirements for clients using SMS online messages to report fraud.

TC 40

Clients reporting fraud utilizing Base II TC 40s, will receive TC 40 response records. Clients may also subscribe to fraud reports as TC40s. For detailed information, refer to the *FRS User Guide*.

The TC 40 record comprises four transaction component records (TCRs). The use of TCRs 0, 1, 2, and 3 depends on fraud reporting requirements based on specific programs, regional initiatives, or both, as outlined in the *FRS User Guide*.

- TCR 0 – All fraud reporting requires at least partial completion and submission of this TCR.
- TCR 2 – Used to report additional information about a fraud transaction.

The *FRS User Guide* contains detailed information on reporting specifications for the referenced TCRs. For each TCR, the *FRS User Guide* contains:

- A table listing all the elements in the TCR.
- A field-by-field description of reporting requirements containing:
 - **Field** – The name, position, length, and format of the field.
 - **Data source** – Identifies one of four sources from which the information required to complete this field can be obtained:
 - *Fixed* – Standard data that is entered for every fraud transaction.
 - *Account holder* – Information regarding the nature of the fraud, their personal identity, or address is provided by the account holder.
 - *Client* – Data provided based on the client's processing environment or other available information.
 - *Base II / SMS* – The information is retrieved from a specific field in the TC 05 or TC 07 record or in the Single-Message (SMS) message. *Note:* The field must be exactly as received in the sales draft transaction.
 - **Edit Criteria** – Describes the basis on which the FRS assigns the reject and warning status codes. Edit criteria includes Fraud Reporting System "generic" data, edits, and specific regional. or program-level edits. *Note:* Regional or specific Risk Management programs, or both, may require a mandatory reporting status of specific fields.
 - Fields marked Optional can either be:
 - Space-filled (if alphanumeric) or zero-filled (if numeric).
 - Left uninitialized and VisaNet initializes them based on the field type.

Fraud Types

Fraud Type	Definition	Applicable to
Fraud Type 0 – Lost	Account Holder is NOT in possession of card and does not know what happened to it.	Issuer
Fraud Type 1 – Stolen	Account Holder is NOT in possession of card and may have an explanation as to how the card went missing (e.g., stolen wallet).	Issuer
Fraud Type 2 – NRI	Not Received as Issued – card was mailed but never received by account holder.	Issuer
Fraud Type 3 – Fraud Application	Account was opened based on true name or synthetic account holder information.	Issuer
Fraud Type 4 – Counterfeit	Account Holder is in possession of card; Card Present transactions have occurred that were not made by the account holder.	Issuer
Fraud Type 5 – Miscellaneous	Cannot be categorized under another Fraud Type, such as, but not limited to: - Multiple draft imprints obtained unlawfully from a legitimate card. - Unauthorized alterations to a sales draft.	Issuer and Acquirer
Fraud Type 6 – Fraudulent Use of Account Number	Account number used in the non-face-to-face environment (card-not present), including mail order, telephone order, recurring payments, installments, and e-commerce (internet) transactions.	Issuer and Acquirer
Fraud Type 9 – Acquirer-reported Counterfeit	Acquirer confirms that the transaction involved is an unissued or invalid BIN.	Acquirer
Fraud Type A – Incorrect Processing	Fraudulent transaction was made possible due to incorrect processing. This type identifies situations in which lack of validating a security element was the factor that enabled fraud to occur. For example: - Fraudulent EMV transaction resulting from lack of cryptogram validation. Vulnerabilities in the implementation of EMV may allow fraudsters to use a chip card with fake cryptograms. - Fraudulent transaction on a magnetic stripe transaction resulting from lack of Card Verification Value (CVV) validation.	Issuer
Fraud Type B – Account or Credential takeover	Fraud resulted from fraudsters taking over an account or credentials from a legitimate client. Examples may include: - Use of personally identifiable information (PII) to circumvent the Issuer's authentication process or account holder's stolen credentials for requesting a new bank-issued card for fraudulent use. - Fraudulent use of card data and PII to circumvent the Issuer's authentication process and enable provisioning of the	Issuer and Acquirer

Fraud Type	Definition	Applicable to
	payment card onto a mobile device/digital wallet, which is subsequently used for fraudulent purchases. – Fraudulent use of the account holder's digital wallet via stolen user credentials (i.e., mobile passcode, wallet login information). – Refer to the Visa Token Service Implementation Guide for Issuer/I-TSP Participation in VDEP Solutions for additional information on how to report TC40 token fraud.	
Fraud Type C – Merchant Misrepresentation	Fraud resulting from a merchant deliberately misleading the account holder. Examples may include: – A merchant fraudulently selling items that are not as they seem or substandard, charging more than anticipated or for a longer term, or charging for a service that the consumer can get for free through another channel for the purpose of conducting fraudulent activity.	Issuer and Acquirer
Fraud Type D – Manipulation of Account Holder	Fraud resulting from a merchant manipulating an account holder into completing what they believe to be a legitimate transaction. This fraud type has been added to support Visa Direct and European PSD2 regulations. Examples may include: – Account Holder manipulated into sending funds to a fraudulent beneficiary when the sender believes they will gain fictitious riches or help an individual in distress, a struggling business, or to pay medical fees. – A fraudster contacting the sender to impersonate a known supplier, trusted organization, or business in order to request a change of payment details for a transaction or to request a payment to a fraudulent account.	Issuer and Acquirer

Information on Visa Direct Fraud Reporting Fields

Processing Code

Acquirers and Issuers are required to populate the Processing Code when reporting fraud to identify the type of transaction being reported (i.e. AFT or OCT). When reporting fraud on Visa Direct transactions, Issuers report fraud on AFTs and Acquirers report fraud on OCTs.

Client Generated SMS 9620

In 9620 Fraud Advices, the Processing Code is associated with Field 3. This is a mandatory field that must be populated with the data copied from the original message request.

TC 40 Record Layout

TC 40, TCR 2, Fraud Advices

- Positions 134–135, Processing Code, with the processing code value from the original transaction.

Acquirers and Issuers reporting fraud using the TC 40, must populate the Processing Code field in positions 134–135 to identify AFTs and OCTs as follows:

- Acquirers and Issuers that receive an AFT in BASE II Draft data, TC x5, TCQ 1, must populate the TC 40, TCR 2, Processing Code field in positions 134–135, with the value of 10 (Account funding), which was the processing code value from the original transaction.
- Acquirers that originate OCTs in V.I.P. Full Service and report fraud in BASE II must populate the TC 40, TCR 2, Processing Code field in positions 134–135, with the value of 26 (Original credit), which was the processing code value from the original transaction.

Fraud Reporting Entity

The Fraud Reporting Entity is a required field used to identify the party reporting the fraud (i.e. the Acquirer or the Issuer).

Client Generated SMS 9620

In 9620 Fraud Advices, the Fraud Reporting Entity is located within Field 63.9—Fraud Data, Position 5.

TC 40 Record Layout

In Base II TC 40, TCR 2, Fraud Advices, the Fraud Reporting Entity is located in Position 132.

Fraud Type Classification

Fraud Type Classification is an optional field that enables Acquirers and Issuers to provide more detail about the fraud being submitted. Combining the Fraud Type and Fraud Type Classification provides an understanding of the fraud activity that occurred around scam fraud. This additional detail can provide greater insight into how fraudsters perpetrate scams.

As an optional field used to identify and increase understanding of different scams, the Fraud Type Classification will be mainly reported against Fraud Type D Manipulation of Account Holder.

Fraud Type Classifications		
01	Purchase scam	The victim pays in advance for goods or services that are never received. These scams usually involve the victim using an online platform, such as an auction website or social media.
02	Investment scam	A criminal convinces their victim to move their money to a fictitious fund or to pay for a fake investment.
03	Romance scam	The victim is persuaded to make a payment to a person they have met, often online through social media or dating websites, and with whom they believe they are in a relationship.
04	Advance fee scam	A criminal convinces their victim to pay a fee, which they claim would result in the release of a much larger payment or high value goods.
05	Invoice or mandate scam	The victim attempts to pay an invoice to a legitimate payee, but the criminal intervenes to convince the victim to redirect the payment to an account they control.

Fraud Type Classifications

06	CEO Fraud scam	The scammer manages to impersonate the CEO or other high ranking official of the victim's organization to convince the victim to make an urgent payment to the scammer's account.
07	Impersonation scam	An individual has been tricked or persuaded by an individual claiming to be from an entity (e.g., a bank, police, service provider) into moving funds to an account they control.

Client Generated SMS 9620

In client-generated SMS fraud messages, the Fraud Type Classification should be reported in Field Number 63.9 in positions 3-4. For more information, refer to the *Fraud Reporting System User Guide*.

TC 40 Record Layout

In the TCR 2 Fraud Advice Record Layout, the Fraud Type Classification is located in Position 136-137 and has a field length of 2. For more information, refer to the *Fraud Reporting System User Guide*.

Reject Codes

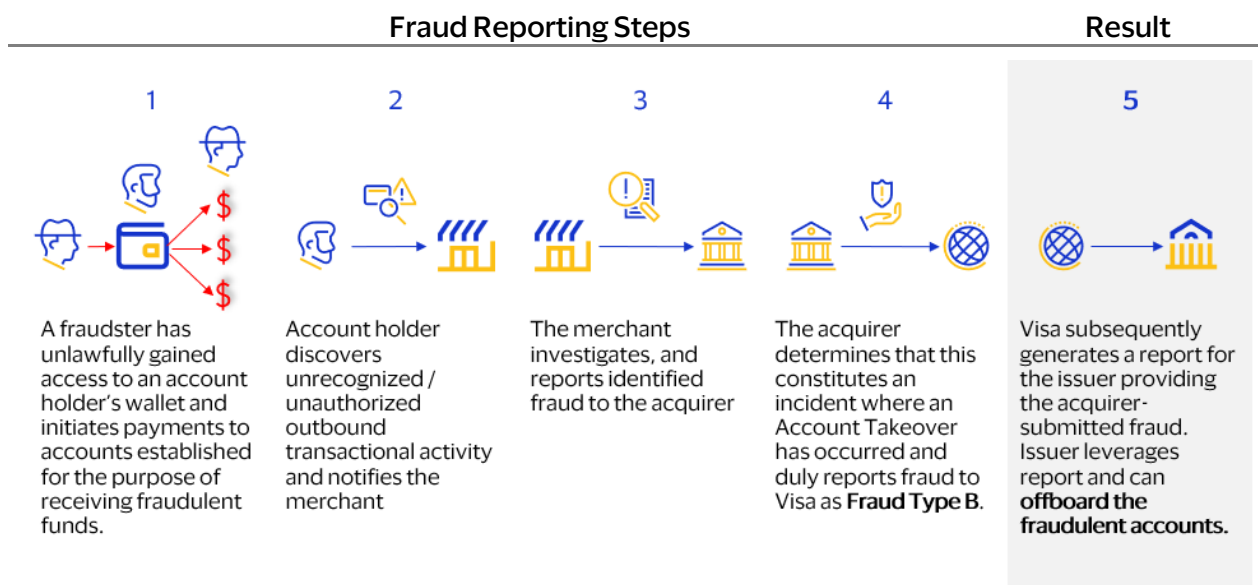
Acquirers reporting fraud should be aware of the Reject Status Codes documented in the *FRS User Guide*. The Reject Status Codes provide important details that assist in clarifying the reason for a report rejection, and may provide useful information for improving the quality of fraud data reported to Visa.

Section 3: Fraud Reporting Scenarios

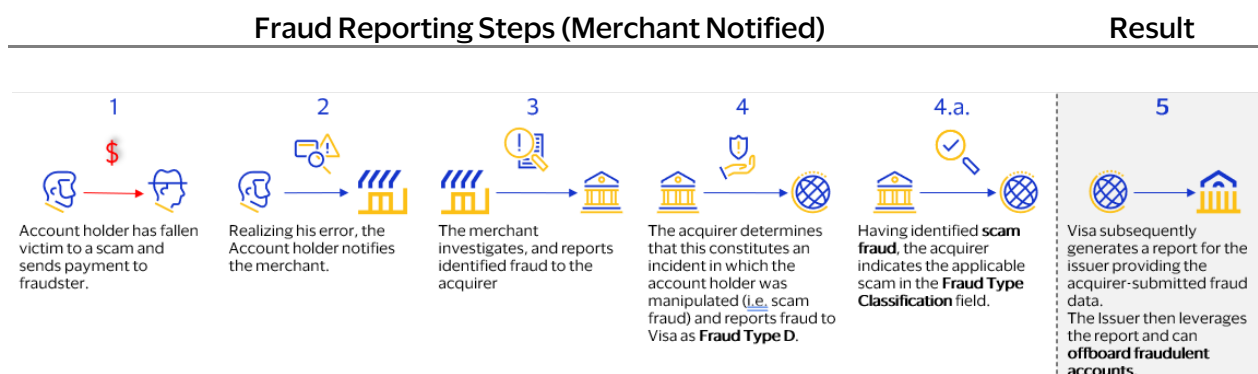
This section will provide a high-level overview of fraud reporting scenarios for OCTs.

Note: The below scenarios are examples and designed to provide guidance on scenarios where OCT Fraud should be reported. It does not constitute an all-encompassing list. Clients must ensure that they have the appropriate tools, mechanisms, and processes in place to identify and report fraud to Visa.

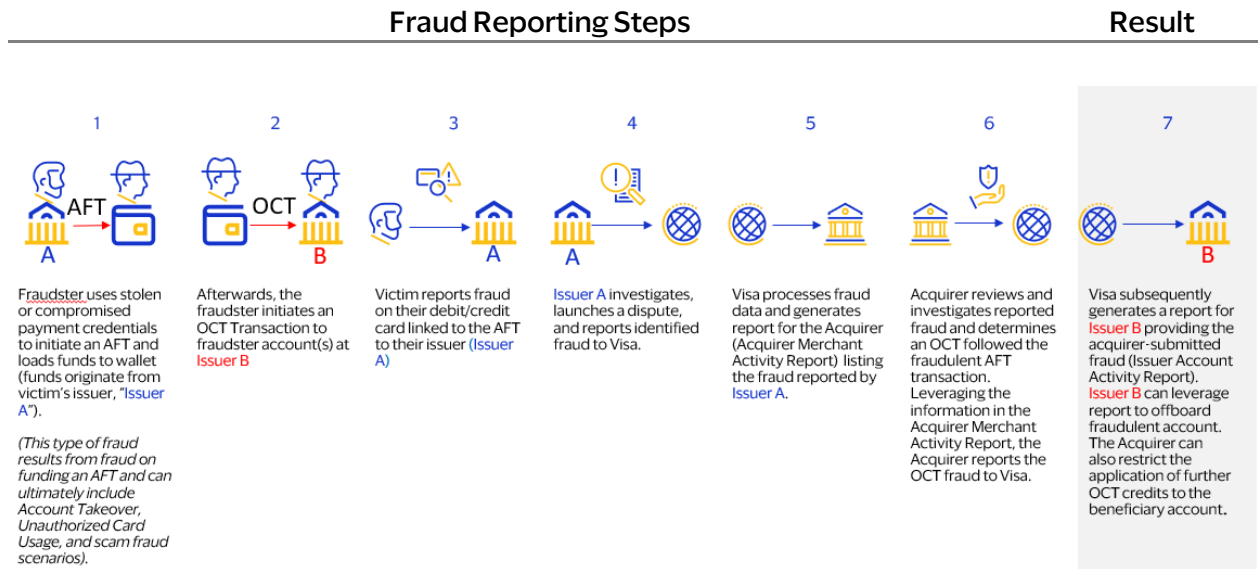
Account Takeover



Authorized Push Payment Fraud (i.e. Scams)



AFT funds OCT



Section 4:

Frequently Asked Questions

Background, Rationale, and Benefits

1. What is fraud reporting?

Fraud Reporting refers to the Visa requirement for clients to report specific information about a transaction where fraudulent activity occurs. Such information includes the transaction details, amount, and date. Clients get required information from several sources, which include the account holder, the original transaction draft, and the authorization message.

2. What is the Fraud Reporting System?

The Visa Fraud Reporting System is Visa's centralized clearinghouse that helps clients report, track, and analyze fraudulent transactions. The system consolidates fraud information, helps clients detect fraud patterns, helps reduce financial losses due to fraud.

3. Who uses the Fraud Reporting System?

The Fraud Reporting System is an internal Visa system. Clients do not have access to the Fraud Reporting System. Clients report fraud through standard channels (1) VROL; (2) 9620, or (3) TC40. For additional information, please refer to the *Fraud Reporting System User Guide*.

4. What are the main changes to the Fraud Reporting System, and what is their significance?

The changes to the Fraud Reporting System effectively create a mechanism for Acquirers to report fraud on OCT transactions. These changes include:

- Expanded list of Fraud Types have been made accessible to Acquirers for fraud reporting purposes: In October 2022, Visa expanded the list of fraud types Acquirers can select when reporting fraud. Before October 2022, Acquirers were only to report Fraud Type 9 – Counterfeit Fraud. Now, Acquirers can report six types of Fraud. For more information on Fraud Types, refer to the Fraud Types in Section 2.
- Three new fields to discern critical information about each fraudulent transaction being reported:
 - **Processing Code** – The processing code is a required field used to indicate the type of transaction on which the fraud is being reported (i.e. AFT or OCT).
 - **Fraud Reporting Entity** – Required field used to identify the party reporting the fraud (Acquirer or Issuer).
 - **Fraud Type Classification** – Optional field that enables the client to provide more insight in instances of scam fraud. Combining, the Fraud Type and Fraud Type Classification provides an understanding of the fraud activity that occurred around scam fraud. The intent is to use this detail classification to understand scam fraud and mitigate scam fraud. For more information, refer to Fraud Type Classification in Section 2.

5. Why are changes being made to the Fraud Reporting System

Changes are being made to the Fraud Reporting System to incorporate a previously unreported source of data that will be used to improve Visa's capabilities as they relate to fraud modeling, detection, and prevention. These changes come at a time when losses to consumers and merchants from money movement fraud are increasing. By taking a proactive approach on push-payment fraud reporting, Visa is improving ecosystem readiness to address an increasingly challenging fraud threat landscape and regulatory environment.

6. How do the enhancements to the fraud reporting system benefit the ecosystem?

The enhancements made to the FRS are expected to provide multiple benefits across the ecosystem. With Acquirers reporting fraud on OCTs, Visa will have the ability to use that data and produce a new report for Issuers exposing accounts that may be compromised by fraudsters. This report, known as the Issuer Account Activity Report, will provide Issuers with data on fraudulent transactions and can serve as a valuable tool to help identify and remove fraud. This report, in effect, can help Issuers inhibit fraudsters' abilities from using their systems for the purpose of defrauding victims, and by extension, help reduce fraud. A reduction in fraud can help lower operational costs, lower exposure to reputational and regulatory risk, and increase consumer confidence and satisfaction. Furthermore, Visa can use the new data to improve its own fraud modeling and detection capabilities to develop risk scores and other tools that it can offer clients for risk mitigation against fraudulent activity.

Requirements

7. Who is required to report fraud?

From October 2023, Acquirers are required to report using the applicable fraud types listed in the fraud type table. The submission is for OCT only, except Purchases using Type 9. In the case of an OCT, the receiver's Issuers should not report back fraud when they receive fraud data from Visa but should take appropriate action against the account. Issuers need to report using all the fraud types in the fraud type table.

8. When does Fraud have to be reported?

All confirmed fraudulent transactions must be reported when detected, but no later than 60 days from the transaction date or 30 calendar days following the receipt of a dispute notification, where a dispute is applicable. It is imperative that clients report fraud at the earliest possible time. Timely fraud reporting ensures the highest level of risk management effectiveness to reduce client losses. For more information about reporting timeframes, refer to Visa's Core Rules and the *FRS User Guide*.

9. When are Acquirers required to begin reporting fraud on OCTs?

Acquirers are required to report fraud on OCTs beginning October 13, 2023.

Fraud Reporting Processes

10. How is fraud reported?

Visa's *FRS User Guide* documents the technical processes for reporting fraud. Fraud reports may be initiated through the standard reporting channels:

- Visa Resolve Online (VROL) – If clients wish to utilize VROL for fraud reporting, they must have a VROL organization established. If they do not, they must create one using Visa Access. For additional information, refer to the *Visa Resolve Online User Guide*.
- TC40 Clearing Messages.
- 9620 SMS Fraud Advices.

11. Can Acquirers report fraud through VROL?

Yes. VROL has been enhanced to allow Acquirers to report fraud on OCTs. For more information on technical reporting capabilities, please refer to the *Visa Resolve Online User Guide*.

12. Does VROL support bulk upload of fraud transactions?

Yes. VROL supports bulk uploads through Open File Delivery (a dedicated file transmission used by the Core system).

13. How are Issuers made aware of Acquirer-reported fraud?

One of the updates Visa has made to the Fraud Reporting System includes the creation of a new, Visa-generated report known as the Issuer Account Activity Report. This report provides a detailed listing of all Acquirer-reported, confirmed fraud transactions. The purpose of the report is to provide the Issuer with a complete listing of all fraud transactions occurring against their cardholder. Thus, it enables the Issuer to identify fraudulent accounts and take appropriate actions in accordance with their respective risk and compliance policies and processes.

14. How may acquirers identify fraud?

- **The Acquirer Merchant Activity Report:** This report, produced daily, bi-weekly, or weekly, provides a detailed listing of all Issuer-reported, confirmed fraud transactions for the Acquirer's merchant base. The purpose of this report is to provide the Acquirer with a complete listing of all fraud transactions occurring for the Acquirer's merchant base. Acquirers can leverage this report to help identify Issuer-reported fraud data on AFTs, which can also assist in the identification of fraud on subsequent OCTs. Acquirers should then report fraudulent OCTs to Visa.
- **Merchant-reported fraud:** Acquirers must work with their merchants to establish processes to ensure that merchant-identified OCT fraud is reported accurately and in a timely manner.
- **Internal transaction monitoring:** Acquirers may also utilize internal transaction monitoring systems, risk tolerance tools or other transactional level reporting to support the identification of fraudulent OCTs.

15. What should Issuers do upon identifying accounts that may be compromised by fraud?

The Issuer Account Activity Report contains a detailed listing of all Acquirer-reported, confirmed fraud transactions. The purpose of this report is to provide the Issuer with a complete listing of all fraud transactions occurring against their account holder. Issuers should take the appropriate actions as informed by their own fraud, risk, and compliance standards, policies, and procedures.

16. How should Issuers respond to law enforcement or regulatory requests for information related to transactions reported as fraud?

Issuers should consult with their respective risk, compliance and legal teams in addressing regulatory or law enforcement requests.

17. How should Visa Direct clients using TC40 Base II messages identify the Processing Code for AFTs and OCTs?

Clients using TC40 Base II messages should leverage the below table to populate the processing code.

Transaction	TC	TCQ	Processing Code
AFT	05	1	10
OCT	06	2	26

Compliance, Monitoring, and Liability

18. Will Visa include Acquirer-reported TC40 OCT volumes when calculating fraud basis points for an Issuer?

No. Acquirer-reported fraud will not impact the fraud basis points for an Issuer.

19. Will Acquirers receive dispute rights or a liability shift for reporting fraud?

No changes are being made to dispute rights or shifts in liability as a result of the changes made to the FRS.

Other

20. What functionality is available for clients to conduct testing on the new fraud reporting requirements?

Clients using VROL can conduct tests in MTE2 environment. A client can also create a fraud report against an existing authorization or full financial in the VisaNet Certification Management Service (VCMS).

Section 5: Appendix

Fraud Processing Overview (Acquirer)

